

GENERAL PARTNERSHIPS IN THE CONTEXT OF BUSINESS

LO 28-3

Describe how partnership law governs the internal and external aspects of a partnership.

For the tax year 2014-2015, approximately 574,000 U.S. general partnerships filed tax information returns with the Internal Revenue Service (IRS). Many businesses such as coffee shops, real estate investment companies, or mobile app start-ups start out as general partnerships because the business founders enter into an informal business agreement with one another. Well-known businesses have started as informal ventures among friends on little more than a handshake deal. For example, Ben and Jerry's and Apple Inc. both got their start this way. Some small companies choose to continue to operate as partnerships, whereas others morph into a business association such as a corporation to reduce liability or attract investment.

Partnership law governs the internal aspects of the business by regulating interactions among partners. These internal rules are spelled out by state statutes based on either the RUPA or the UPA. The partners at any time may decide to opt out of these default rules by entering into a contract called a *partnership agreement*. As discussed below, the statutory default rules cover important items such as how profits will be split among partners or who will have the authority to manage the business and enter into contracts.

Partnership and agency law also governs the relationship between the partnership, partners, and outside third parties. The rules that govern relationships with third parties, in contrast to the rules that govern the relationship between partners, cannot be altered by a partnership agreement. For example, an important rule under the RUPA that distinguishes general partnerships from other types of business associations is that all partners face [joint-and-several liability](#) for contract and tort-related obligations. This means that general partners' personal assets are at risk both together (jointly) and separately (severally) for all debts and liabilities of the partnership, regardless of the source of the debt or liability. This liability rule with respect to third parties cannot be altered by the partnership agreement. For example, if Billy from the Smashing Tomatoes band discussed earlier drives the van on partnership business and negligently injures someone, all the other band members will be liable as partners. All partners will share this liability equally; however, if only one band member has funds to pay the claim, he or she will shoulder the entire financial burden.

Partnership law also binds the partners to one another. According to Section 301 of the RUPA, "each partner is an agent of the partnership for the purpose of its business. An act of a partner . . . for apparently carrying on in the ordinary course the partnership business . . . binds the partnership, unless the partner had no authority to act . . . and the person with whom the partner was dealing knew or had received a notification that the partner lacked authority."

Just as in the case of a sole proprietorship, a partnership is a [pass-through entity](#). This means that the partnership entity pays no level of corporate tax. Rather, profits are taxed after they pass through the business and are distributed to the individual partners. The income is reported on the individual general partner's personal tax return (Form 1040) and taxed based on the general partner's individual rate. In fact, the partnership entity itself does not file a tax return, but it does file an information return with the IRS for purposes of providing the government with documentation regarding how much, when, and to whom profits were paid. Partners also report business partnership losses on their individual tax returns and are permitted to deduct those losses to offset certain types of income.

TAKEAWAY CONCEPTS General Partnerships in the Context of Business

- Many well-known companies started informally as partnerships.
 - Partnership and agency law also governs the relationship between the partnership, partners, and outside third parties.
 - An important rule under the RUPA that distinguishes general partnerships from other types of business associations is that all partners face joint-and-several liability for contract and tort-related obligations.
 - A partnership is a pass-through entity, which means that the partnership entity pays no level of corporate tax.
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